

How China Forestry Group's Expansion Left It With 156.7 Billion Yuan in Liabilities

English adaptation by Yufei Chen

Reporting contribution note: I contributed reporting and research to the original Caixin investigation, including reviewing annual reports, regulatory filings, internal materials and interview records, cross-checking financial information and helping reconstruct key timelines. The original Chinese article was written and bylined by Caixin reporter Tailai Zhou. This English version condenses and adapts reporting from the original story for use as a writing sample.

A relatively small unpaid bill offered a window into a much larger problem at China Forestry Group Corp., China's only centrally administered state-owned enterprise focused on the forestry industry.

In July 2024, Shanghai-listed timber trader Jiangsu Wanlin Modern Logistics Co. disclosed that two China Forestry subsidiaries had failed to honor 35.3 million yuan in commercial acceptance bills issued for timber purchases. The Shanghai Stock Exchange asked Wanlin why the bills had become overdue and whether the company had properly assessed its customers before extending credit.

By then, China Forestry's problems were far larger than a few unpaid bills.

When the group was placed under the management of China Three Gorges Corp. in September 2023, it had about 156.7 billion yuan in liabilities. Those included 49.1 billion yuan in short-term borrowing, roughly 34 billion yuan in long-term loans and 26.9 billion yuan in notes payable.

Caixin's review of financial statements, audit findings, court records, bond prospectuses, corporate filings and interviews showed how the pressure had built. China Forestry expanded rapidly through trading businesses, acquisitions and mixed-ownership ventures. Along the way, receivables and prepayments grew sharply, subsidiaries became harder to control, and some transactions were later found to have no genuine trade background.

Rapid Growth

China Forestry had once been relatively small compared with many of China's central state-owned enterprises.

That began to change after 2013, when the group repositioned itself as a global forest-resource operator and a platform for China's forestry industry. It expanded through acquisitions, overseas projects and mixed-ownership ventures.

Revenue rose from less than 20 billion yuan in 2011 to 93.8 billion yuan in 2017. By 2020, it had climbed above 200 billion yuan.

Its timber business expanded just as quickly. By 2017, China Forestry handled nearly 50 million cubic meters of timber, up from 3.66 million cubic meters at the end of 2012. Imported timber exceeded 21 million cubic meters, about one-fifth of China's total timber imports.

But much of the growth came from trading rather than from owning forests or other long-term assets.

People familiar with the company said trading allowed China Forestry to scale up quickly with less capital. It also tied the group more closely to outside counterparties and created heavy demand for short-term financing.

Audit findings later showed that some of those trading activities had crossed into financing arrangements.

Trade and Financing

An audit of China Forestry's 2016 financial statements found that China National Forest Products Group, one of its most important subsidiaries, had issued letters of credit and bank acceptance bills without genuine trade backgrounds, allowing 10 outside companies to obtain 1.238 billion yuan in bank financing.

From 2014 through 2016, several group companies also provided 821 million yuan to outside enterprises through arrangements that included advance payments and shareholder loans.

The problems continued after the audit.

In 2020, an inspection by China's state-asset regulator again identified issues involving trading operations, dealings with private shareholders, overdue receivables and prepayments, and guarantees provided to non-state enterprises. The group was told to clean up long-outstanding balances and strengthen controls over external guarantees.

Receivables and prepayments, however, kept growing.

Court records show how some transactions worked.

In one case, a China Forestry trading company was involved in a chain of contracts for chemical products. Commercial bills created through the transactions were later pledged to a bank, helping another company obtain 130 million yuan in financing.

A Shanghai court found that the arrangement was not simply a normal sale of goods. The bills were being used as part of a financing structure involving upstream and downstream companies.

People familiar with China Forestry said similar practices were common in parts of the group's trading business. Some counterparties appeared both as suppliers and customers. Others received advances from China Forestry while also owing the group large sums in receivables.

That made the balance sheet increasingly difficult to untangle.

Receivables Pile Up

By the third quarter of 2023, China Forestry reported 47.3 billion yuan in accounts receivable and 74.4 billion yuan in prepayments.

Together, they totaled about 121.7 billion yuan, or roughly 53% of the group's 228.5 billion yuan in assets.

Inventories added another 33.3 billion yuan.

People familiar with the cleanup said not all of those balances meant the same thing. Some reflected real transactions. Others were linked to financing arrangements or accounting entries created through complicated trading relationships.

The group also relied on dozens of counterparties connected through overlapping supplier and customer relationships. In some cases, companies within the same network owed money to one China Forestry subsidiary while receiving advances from another.

One person familiar with the company said even reconciling a single customer account could be difficult because the balance might include money actually owed to China Forestry as well as amounts related to profits created through trade arrangements.

The debt side of the balance sheet was also growing.

By the third quarter of 2023, China Forestry had more than 83 billion yuan in short- and long-term bank borrowing. It also had credit lines from several of China's largest state-owned banks.

The group had tried to reduce leverage after the 2020 regulatory inspection. Its debt-to-asset ratio briefly fell below 70%.

By the end of 2021, however, China National Forest Products Group alone reported about 100.7 billion yuan in assets and almost the same amount in liabilities.

Acquisitions Add More Pressure

China Forestry's risks were not limited to trading.

One of its earlier investments was Rugao Port in Jiangsu province. The acquisition was part of a broader plan to build a logistics network linking ports, timber trading and processing businesses along the Yangtze River.

The port's financial position deteriorated after China Forestry invested. Its liabilities rose from about 2.3 billion yuan in 2014 to roughly 9.8 billion yuan in 2018.

China Forestry also became involved in the restructuring of Rongsheng Heavy Industries, once one of China's largest private shipbuilders.

The group entered the restructuring in 2016, partly because the shipyard was close to its port investments and appeared to fit a broader logistics and industrial strategy. A restructuring vehicle was created to take on debt and separate usable assets from liabilities.

The project became another source of financial pressure.

People familiar with the transaction said the restructuring vehicle took on more than 5 billion yuan in debt involving several financial institutions. China Forestry provided guarantees for part of those obligations but did not ultimately acquire the shipyard's equity and assets as originally contemplated.

By the end of 2022, China Forestry still recorded about 4.15 billion yuan in receivables related to the restructuring.

People familiar with the deal also said some debt commitments had been made before the restructuring framework was formally approved, raising questions about how major investment decisions were being made inside the group.

Several senior executives connected with China Forestry and its subsidiaries were later investigated by anti-corruption authorities. The group's former chairman was prosecuted on bribery charges.

The Size of the Hole

By the time China Three Gorges was brought in to manage China Forestry in 2023, the group was dealing with several problems at once.

Investments had tied up or lost capital. Receivables and prepayments had become difficult to recover. Trading businesses continued to consume financing. The group also had to service a large amount of bank debt.

People familiar with the company said another difficulty was simply figuring out what could be recovered.

Some receivables were linked to customers that had stopped operating. Some private business owners had disappeared or could no longer be reached. In other cases, subsidiaries and counterparties had spent years offsetting balances against one another, making it harder to reconstruct what had actually happened.

By 2023, cleaning up the accounts had become almost as difficult as raising new money.

The problem was no longer just that China Forestry had grown too quickly.

It was that the group now had to work out which assets, trades and receivables on its books were real, recoverable and still worth anything.

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